GMS WEEKLY

Your Source for Recycling News

May 3rd, 2024
Week 18
Volume 261, Issue 1132

QUOTE of the WEEK

"Rock bottom eventually becomes nothing more than a state of mind."

D. Kaye

Highlights:

- **Fervor to acquire.**
- **Turkey's prices...**
- **Freight highs.**
- **Bangla benefits.**
- **India takes Silver.**
- **Scan to download and view the GMS Weekly on our Recycling App!**

- MARKET COMMENTARY -

DEAD ALIVE!!!

Activity across the Indian sub-continent ship recycling markets has been climbing on the back of recently witnessed agitations in the trading lanes, which continue to ramp up with each passing week as a growing number of Ship Owners are biting the recycling bullet & selling their overaged but still trading vessels. Containers have been the first segment to be squeezed out by this recent dip in freight rates as several units were (and continue to be) introduced for a recycling sale. Moreover, given that much of the miniscule supply of tonnage over recent quarters has been focused on the dry and container sectors, which themselves have enjoyed eye-watering highs during / post Covid & even more since the escalation of geopolitical crises in 2023, many would consider these sectors being long overdue for a clear-out as we continue to witness impressive signs of a fervor to acquire that has come 'dead alive' at the bidding tables, as well as the various waterfronts of late – including Turkey, where vessel prices were seemingly torched by desperate Aliaga Recyclers who are clearly willing to go above & beyond the boundaries set by domestic fundamentals this week; in that 4K – 9K LDT units are reportedly seeing a minimum jump in prices of about $20/Ton whereas +10K LDT units are seeing **over** USD 40/Ton of an increase in offerings – seemingly even higher on choice units.

As such, as recycling prices inch up towards the mid USD 550s/LDT in key sub-continent markets and even approach USD 400/Ton in Turkey once again, Ship Owners are clearly comfortable at these higher overall price points and are finally happy to sell their aged units. Owners of older Bulkers – particularly Handy & Panamax units – have also been discretely testing recycling rates of late, especially as the Dry Bulk sector has enjoyed its unseasonal surge in rates, one that now looks set to recede in the near future. As the wet market also remains bullish and there remains little danger of seeing an increase in respective units' head for recycling any time soon, several Tankers & FSOs have been delivered into India & Bangladesh of late, as Pakistan's anchorage seems content in slowing down given that this market is just a ship shy of tallying its 2023 volume.

Overall, Bangladesh remains the primary beneficiary of units across recent times as Owners continue to hope to reach / breach the magical USD 600/LDT mark, and India remains close on the pricing heels of the market leaders, even taking Silver on the back of firming fundamentals and finally sneaking into 2nd place in the market rankings this week. Lastly, after a brief period of strong performance, Pakistan has once again receded into the background, on account of largely impractical numbers on any of the geographically well-positioned units opening in the West.

For week 18 of 2024, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Firming	520 / LDT	540 / LDT	560 / LDT
2	India	Firming	510 / LDT	530 / LDT	550 / LDT
3	Pakistan	Steady	500 / LDT	520 / LDT	530 / LDT
4	Turkey*	Ablaze	360 / LDT	370 / LDT	380 / LDT

** +10K LDT Units*

BANGLADESH

‘ PICKY WHILE STARVED ‘

Ole’ rusties.

Despite Bangladeshi Recyclers becoming extremely fussy on available tonnage at a level historically unseen, turning down vessels not only due to the units age and country of build, but more importantly, on account of the overall condition of vessels as nothing other than a fleet of laid up ole’ rusties has been greeting the nation’s waterfront, ever since Bangladeshi offerings climbed well into the USD 500s/LT LDT.

As a result, the industry has seen many of these units not only face steep discounts (much to the chagrin of respective Owners), but a growing number of these units are also increasingly failing to generate the least bit of interest from Chattogram Choppers, who remain content to wait for the rarer, better-quality unit to come around, rather than have to face the all-but-certain migraine machine that comes part-and-parcel with recycling contracts on these older laid-up units.

‘Surprisingly decent’.

Therefore, in line with prevailing market conditions i.e., Chattogram Choppers being ‘picky while starved’, and given that even these poorer condition units still need a recycling future, albeit at an aforementioned discounted one, the markets saw the Chinese controlled Bulker XIN LV BAO SHI (7,844 LDT) fetch a ‘surprisingly decent’ USD 520/LT, in the only market sale of the week. We mention ‘surprisingly decent’ on account of the fact that good quality units were seeing such levels until only a few weeks ago. Notwithstanding, as the nation is still atop the recycling market rankings week after week, the Bangladeshi waterfront remains the IMAX presentation of a return to recycling form, as a healthy collection of private, small(ish) LDT, Containers & General Cargo vessels have arrived local anchorage just this week, including another large LDT tanker.

Plate paralysis.

Domestic fundamentals also remain in a state of volatile stillness as local steel plate prices and the Bangladeshi Taka conjointly start & even end the week at the same levels on an ongoing basis, in that, the Taka dune-bashes between BDT 108.90 to BDT 109.98 against the U.S. Dollar where it has been closing out the working week on an ongoing basis, and domestic steel prices continue to flatline at levels that still support local offerings. This ongoing plate paralysis may prove troublesome to Bangladesh’s (recently predicted) performance rather sooner than later, as neighbouring India starts to firm on the back of its own improving plate prices and is clearly grabbing at the heels of local levels.

Nonetheless, we do feel confident about the near-future performance of this market, especially for decent units coming in from the Far East, and out of the pricing-reach of Indian / Pakistani Recyclers.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
XIN LV BAO SHI	Bulker	7,844	USD 520/LT LDT

INDIA

PUZZLING PONDERANCES!

As we have puzzlingly pondered about the performance of the Indian Ship Recycling sector since the start of the year, wondering just why this market has been unable to leapfrog ahead of the competition on account of its comparatively (than Bangladesh & Pakistan's) stable economy, decent domestic fundamentals / local steel plate prices that have far from flatlined, or even unheard of L/C restrictions that could have arrested the ability of Alang Recyclers at the bidding tables for about a year, the one thing this market has failed to deliver to date, is its competitive performance as the industry has been anticipating a lift-off to this market since the start of the year – a moment that seems to have mercifully arrived over the last couple of weeks.

Lift-off.

Elections are currently underway in India with the results being announced on June 2nd and election fever certainly seems to have ignited the nation's economy as the Indian Rupee shakily gained ground against the U.S. Dollar, ending the week at levels approaching Rs. 83.30, in addition to an impressive boost in local steel plate prices that saw levels firm by about USD 13/Ton this week.

June 2nd.

Firming steel plate prices also seem to be offering a larger buffer for domestic Recyclers to consider when offering, in that, vessel prices immediately saw a firming this week, one which resulted in India dethroning Pakistan for 2nd place and reporting a massive jump in LDT imported into Alang, with about 55K LDT via just 6 ships reported at Alang's anchorage / on the beach vs. 66K LDT via 11 vessels at Chattogram, as the industry witnesses an impressive spread of LDTs and vessel types in India's recycling waterways this week.

Pole position.

This firming in Indian levels also did not go unnoticed, such that the German built PROFESSOR B (5,040 LDT) was introduced and swiftly managed to fetch a decent USD 545/LT LDT, besting their Pakistani counterparts for a decent LDT market sale this week, and more of this performance expected to come in the near future.

Overall, as Indian Buyers finally get back on the sales board, with more likely to follow (particularly HKC only containers), it remains a matter of time until India passes their Bangladeshi counterparts once again and assumes pole position atop the ship recycling market rankings once again.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
PROFESSOR B	General Cargo	5,040	USD 545/LT LDT

PAKISTAN

SATIATED & SLOW!

A vessel closer and a vessel shy.

An expectedly slow week that the industry saw coming over the last couple of weeks finally witnessed Gadani Recyclers inch a vessel closer & a vessel shy of 2023s total ship recycling volume, as local offerings remain steady amidst local steel plate prices that continue to flatline, and a Pakistani Rupee that witnessed its own share of dune-bashing this week, as levels jumped repeatedly between PKR 278 to PKR 278.50 and back down to PKR 278.13 against the U.S. Dollar, where it ended finally the week.

Beaches & bellies.

Moreover, with beaches & bellies full on account of recent deliveries & fundamentals that are offering no impetus for the Gadani Recyclers to firm up their levels any further, the Pakistani market finally sank to the bottom of the sub-continent market rankings this week, as India enters the fore and is increasingly demanding the attention of Ship Owners and Cash Buyers of all units opening West of Sri Lanka.

Nevertheless, the industry continues to witness the occasional fixture into this market as another decent LDT, General Cargo unit managed to find its permanent resting place at a domestic yard in Pakistan.

One-off Buyer.

As yet another week of muted activity (one of many to come) wraps up amidst firming competition and as the Pakistani market further slips into an (expectedly) early monsoon slumber, unless a one-off local Recyclers jumps back into the fray on a particular unit, we do not anticipate much activity from the shores of Gadani in the coming week(s), especially as India is increasingly expected to slip into overdrive post June 2nd and Bangladeshi levels are still firming as time goes on.

NO MARKET SALES REPORTED

TURKEY

BA-ZZZING!

From depressed to dashing, is what has been the performance of the Turkish market in the span of a week, which certainly is nothing short of spectacular and especially since we have not witnessed this impressive a jump in some time now.

Depressed to dashing.

Despite no movements being reported in local & import steel prices, in addition to a Lira that, much like the sub-continent currencies, weakened past TRY 32.52 once again, only to firm and end the week at region TRY 32.30 against the U.S. Dollar, a collection of Aliaga Recyclers has suddenly woken from a deep slumber and ramped up local offerings to the max as not only have vessel offers jumped to the tune of USD 40/Ton on +10K LDT units, but these levels are also seemingly conservative as Owners could well witness levels approaching the magical USD 4XX/MT for the right unit – so eager have a few local Recyclers become to acquire vessels for their emptying yards.

Refreshing sprinkle.

On account of these firming levels, news of a tiny 4K LDT container fetching levels north of USD 380/MT via a reportedly private sale has certainly caught the eye of Owners as the ongoing introduction of potential units into Aliaga continues on.

As such, we certainly hope the Turkish market enjoys a refreshing sprinkling of tonnage this month and Aliaga anchorage enjoys a much-needed inflow of tonnage.

NO MARKET SALES REPORTED

INTERESTING SCIENCE & SPACE FACTS

- *We know that not all ice in the universe is the same. A close-up examination of Comet 67P/Churyumov–Gerasimenko by the European Space Agency's Rosetta spacecraft, for example, revealed a different kind of water ice than the kind found on Earth.*
- *Humans have been exploring space for more than 60 years and have been lucky enough to get close-up pictures of dozens of celestial objects. Most notably, we've sent spacecraft to all of the planets in our solar system — Mercury, Venus, Earth, Mars, Jupiter, Saturn, Uranus, and Neptune — as well as two dwarf planets, Pluto and Ceres.*
- *The bulk of the flybys came from NASA's Voyager 1 and Voyager 2, which left Earth more than four decades ago and are still transmitting data from interstellar space. Between them, the Voyagers clocked visits to Jupiter, Saturn, Uranus and Neptune, thanks to an opportune alignment of the outer planets.*
- *Scientists have found no evidence that life exists elsewhere in the solar system. But as we learn more about how "extreme" microbes live in underwater volcanic vents or frozen environments, more possibilities open up for where they could live on other planets.*
- *Microbial life is now considered likely enough on Mars that scientists take special precautions to sterilize spacecraft headed to the planet. NASA chose to crash its Galileo spacecraft into Jupiter rather than risk it contaminating the potentially habitable oceans of Europa.*
- *Mercury is the smallest planet in the solar system (excluding the dwarf planet Pluto, of course), and the second densest after Earth. And it's only getting smaller and denser.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
May 01 – Labor Day May 23 – Buddha Purnima	May 05 – May 13 May 21 – May 29

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
May 01 – Labor Day May 23 – Buddha Purnima	May 07 – May 10 May 23 – May 25

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
May 1 – May 5 – Labor Day Holidays	May 5 – Labor Day Holiday	May 01 – Labor & Solidarity Day

Prices indicated above are as reported in the market and are not necessarily accurate. This information is provided without prejudice and is given in good faith and without any guarantees whatsoever. While every care has been taken in the preparation of this report, no liability can be accepted for any loss incurred in any way whatsoever by any person relying on the information contained herein. Opinions expressed herein may be deemed subjective and arbitrary. This WEEKLY is intended only for the person or entity to which it is addressed and may contain confidential and/or privileged material. Any review, retransmission, dissemination, or other use of this information by persons or entities other than the intended recipient is prohibited.

ALANG - Port Position as of May 03, 2024

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Amanah	8,997	Roro	Arrived April 27
2	*Asphalt Princess (Dead Vessel)*	*3,271*	*Oil Tanker*	*Beached April 30*
3	*Dark Knight*	*2,607*	*Supply Vessel*	*Beached May 01*
4	Kel	3,535	Chemical Tanker	Arrived May 02
5	*Leo (Under Tow)*	*23,590*	*FPSO*	*Beached May 01*
6	*MSC Nilgun*	*12,553*	*Container*	*Beached April 26*
Total Tonnage		**54,553**		

CHATTOGRAM - Port Position as of May 03, 2024

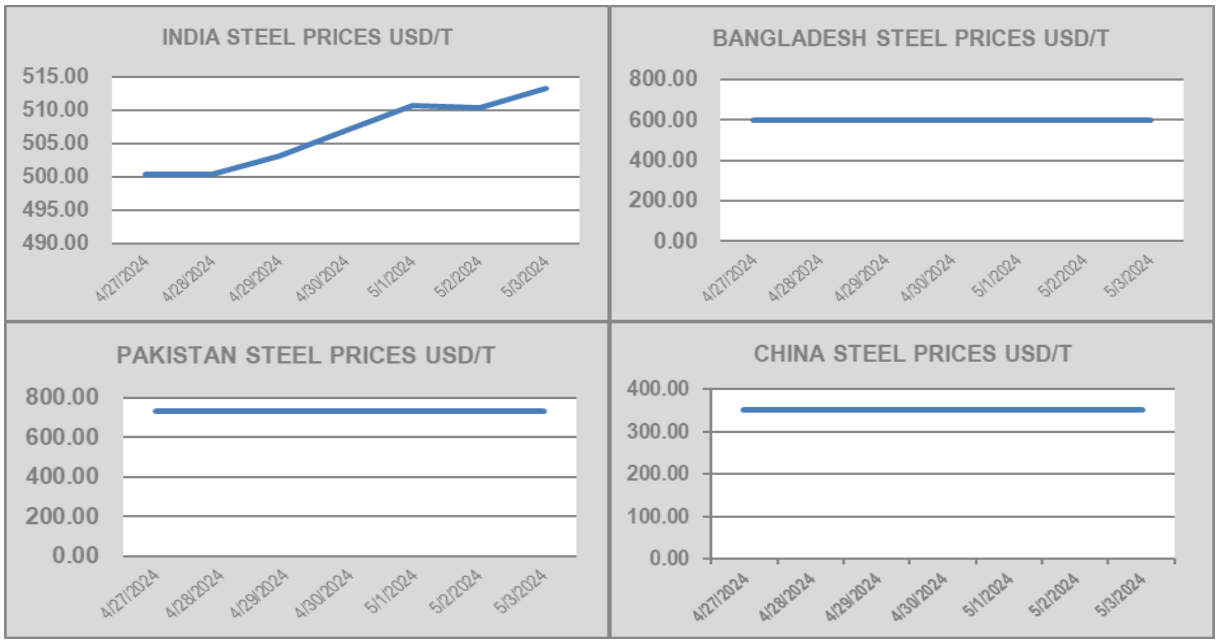
No.	VESSEL NAME	LDT	TYPE	STATUS
1	Hong Xi	3,621	General Cargo	Arrived May 01
2	Jal Gamini	22,572	Tanker	Arrived April 27
3	*Lian Feng 6*	*6,537*	*General Cargo*	*Beached April 26*
4	*Medan 2*	*7,284*	*Container*	*Beached April 26*
5	Pita Erma	3,613	General Cargo	Arrived April 27
6	S Maru 5	1,700	Research Vessel	Arrived April 25
7	*Sawasdee Singapore*	*7,138*	*Container*	*Beached April 27*
8	Sia 32	2,801	Container	Arrived May 02
9	*Sinokor Hong Kong*	*5,475*	*Container*	*Beached April 26*
10	Sinokor Qingdao	4,735	Container	Arrived April 23
11	*Thareratana 1*	*739*	*Tanker*	*Beached April 28*
Total Tonnage		**66,215**		

GADANI - Port Position as of May 03, 2024

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Toro Bianco*	*9,269*	*General Cargo*	*Beached May 03*
Total Tonnage		**9,269**		

WHILE EXTREME CARE HAS BEEN TAKEN IN THE PREPARATION OF THIS REPORT, NO LIABILITY CAN BE ACCEPTED FOR ANY LOSS INCURRED IN ANY WAY WHATSOEVER BY ANY PERSON RELYING ON THE INFORMATION CONTAINED HEREIN.

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
4/27/2024	500.36	41,700.00	735.29	205,000.00	600.00	72,000.00	352.52
4/28/2024	500.36	41,700.00	735.29	205,000.00	600.00	72,000.00	352.52
4/29/2024	503.17	42,000.00	735.29	205,000.00	600.00	72,000.00	352.52
4/30/2024	507.07	42,300.00	735.29	205,000.00	600.00	72,000.00	352.52
5/1/2024	510.67	42,600.00	735.29	205,000.00	600.00	72,000.00	352.52
5/2/2024	510.36	42,600.00	735.29	205,000.00	600.00	72,000.00	352.52
5/3/2024	513.37	42,800.00	735.29	205,000.00	600.00	72,000.00	352.52



ANDROID APP ON Google play
Download on the App Store

www.gmsinc.net
GMS_Leadership
GMS Leadership
snp@gmsinc.net

Athens, Greece Tel: +30.210.899.0669
Cumberland, USA Tel: +1.301.759.9240
Hamburg, Germany Tel: +49.40. 3197.9963
Shanghai, China Tel: +86.216.075.1900
Singapore Tel: +65.6823.8037
Bhavnagar, India Tel: +91.278.300.5253
Dubai, UAE Tel: +971.4.423.0720
New York, USA: +1.240.505.9716
Seoul, South Korea Tel: +82.10.4650.0720
Tokyo, Japan Tel: +81.3.5453.6311